SCHEDULE DR-TOU-2

EXPERIMENTAL DOMESTIC TIME-OF-USE SERVICE

APPLICABILITY

Optionally available to single-phase domestic service for lighting, heating, cooking, water heating, and power, or combination thereof, in single family dwellings, flats, and apartments where the customer is separately metered by the utility. The utility reserves the right to limit the number of customers receiving service under the terms of this schedule, as described in Special Condition 6.

Pursuant to D.01-11-065, this schedule was closed to additional customers effective January 1, 2002. Effective March 1, 2002, this schedule will be cancelled.

TERRITORY

Within the entire territory served by the utility.

RATES

Description	Transm	Distr	PPP	ND	FTA	Restruc	CTC	RMR	UDC Total	
Minimum Bill ($/day)									**0.170**	
Metering Charge ($/mo)		3.62							**3.62**	I
On-Peak - Summer	.00629	.05308	.00352	.00065	.01239	.00080	.02188	.00385	**.10246**	
Off-Peak - Summer	.00629	.05308	.00352	.00065	.01239	.00080	.00488	.00385	**.08546**	
On-Peak - Winter	.00629	.04574	.00352	.00065	.01239	.00080	.00687	.00385	**.08011**	
Off-Peak - Winter	.00629	.04574	.00352	.00065	.01239	.00080	.00488	.00385	**.07812**	
Baseline Adjustment										
Summer		(.01249)							**(.01249)**	N
Winter		(.00516)							**(.00516)**	N

Notes: Transmission Energy charges include the Transmission Revenue Balancing Account Adjustment (TRBAA) of ($.0007) per kWh, the Transmission Access Charge Balancing Account Adjustment (TACBAA) of $.00007 per kWh and a Supplemental Surcharge (SS) of $.00003 per kWh. Restructuring Implementation Rate is comprised of rates for Internally Managed Costs (IMC) and Externally Managed Costs (EMC). I I

Minimum Bill

Rate components of the minimum charge, including charges associated with Schedule EECC (Electric Energy Commodity Cost), will be calculated based on average minimum bill usage.

Rate Components

The Utility Distribution Company Total Rates (UDC Total) shown above are comprised of the following components (if applicable): (1) Transmission (Trans) Charges, (2) Distribution (Distr) Charges, (3) Public Purpose Program (PPP) Charges, (4) Nuclear Decommissioning (ND) Charge, (5) Trust Transfer Amount (TTA), sometimes referred to as Fixed Transition Amount (FTA), (6) Restructuring Implementation Rate (Restruc) which is the sum of the rates for Internally Managed Costs and Externally Managed Costs (7) Ongoing Competition Transition Charges (CTC), and (8) Reliability Must Run Generation Rates (RMR).

Utility Distribution Company (UDC) Total Rate shown above excludes any applicable commodity charges associated with Schedule EECC.

(Continued)

SCHEDULE DR-TOU-2

EXPERIMENTAL DOMESTIC TIME-OF-USE SERVICE

RATES (Continued)

Fixed Transition Amount Adjustment
For residential and small commercial customers as defined in Rule 1 – Definitions, and as described in Public Utilities Code Section 331(h), the rates shown above will be adjusted in accordance with the rates set forth in Schedule FTA.

Franchise Fee Differential
A franchise fee differential of 1.9% will be applied to the monthly billings calculated under this schedule for all customers within the corporate limits of the City of San Diego. Such franchise fee differential shall be so indicated and added as a separate item to bills rendered to such customers.

Time Periods
All time periods listed are applicable to actual "clock" time.

On-Peak	12 Noon - 6 p.m. Weekdays
Off-Peak	All Other Hours Plus Weekends and Holidays
Seasons:	
Summer	May 1 - October 31
Winter	November 1 - April 30

SPECIAL CONDITIONS

1. Baseline Credit. A Baseline Credit is applicable only to separately metered residential usage. N

2. Baseline Usage. The following quantities of electricity should be used in determining a customer's baseline credit.

		Daily kWh Allowance Per Residential Unit For Climatic Zones*		
	Code	1	2	3
Basic Allowance				
Summer (May 1 to October 31, inclusive)	B	8.3	9.9	11.4
Winter (November 1 to April 30, inclusive)	B	8.3	9.9	8.3
All Electric**				
Summer (May 1 to October 31, inclusive)	C	9.8	14.6	19.5
Winter (November 1 to April 30, inclusive)	C	16.6	26.5	21.5

*Climatic Zones are shown on the Territory Served, Map No.1. N

(Continued)

SCHEDULE DR-TOU-2

EXPERIMENTAL DOMESTIC TIME-OF-USE SERVICE

SPECIAL CONDITIONS (Continued)

2. Baseline Usage (Continued) N

**All Electric allowances are available upon application to those customers who have permanently installed space heating or who have electric water heating and receive no energy from another source.

Where it is established that the regular use of a medical life-support device is essential to maintain the life of a full-time resident of the household or that a full-time resident of the household is a paraplegic, quadriplegic, hemiplegic, multiple sclerosis, or scleroderma patient, or is being treated for a life-threatening illness or has a compromised immune system, the customer is eligible for a standard daily medical baseline allowance in addition to the standard daily nonmedical baseline allowance. The amount of the additional allowance shall be 16.5 kwhr per day.

Where it is established that the energy required for a life-support device (including an air conditioner or space heater) exceeds 16.5 kwhr per day, the additional allowance will be granted in increments of 16.5 kwhr per day until the estimated daily usage of the device is covered.

The utility may require certification by a physician and surgeon, licensed to practice medicine in the State of California, or a person licensed in the State of California pursuant to the Osteopathic Initiative Act, that a particular device is necessary to sustain the resident's life.

By granting the baseline allowances set forth above, the utility does not guarantee a continuous and sufficient supply of energy. The supply of all energy by the utility is subject to the provisions of Rule 14. N

3. Voltage. Service under this schedule will be supplied at the standard lighting voltage. L T

4. Welder Service. Service under this schedule will be supplied to a welder load of 2.9 Kva or less at 240 volts, and to 0.5 Kva or less at 120 volts. Welders will be rated in accordance with Rule 2F-1. T

5. Metering. The utility will supply, own, and maintain all necessary meters and associated equipment utilized for billings. In addition, and for purposes of monitoring customer load, the utility may install at its expense, load research metering. The customer shall supply, at no expense to the utility, a suitable location for meters and associated equipment used for billing and for load research. T L

6. Failure of Meter Timing. Should the timing device on the meter fail causing the On-Peak and Off-Peak energy consumptions to be incorrectly registered, the customer will be billed on the consumption, as registered, on the otherwise applicable domestic schedule. T

7. Terms of Service. A customer receiving service under this schedule may elect to change to another applicable rate schedule but only after receiving service on this schedule for at least 12 consecutive months. If a customer elects to discontinue service on this schedule, the customer will not be permitted to return to this schedule for a period of one year. T

8. Limitation on Availability. This schedule shall be available in combination with Schedule DR-TOU, subject to metering and equipment availability, and a customer limitation of 10,000. Requests for service will be prioritized in the order they are received. T

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SCHEDULE DR-TOU-2

EXPERIMENTAL DOMESTIC TIME-OF-USE SERVICE

SPECIAL CONDITIONS (Continued)

9. Optional Billing - Utility Option. The utility may, at its option, provide all new Schedule DR-TOU-2 customers the lower of the bill under this schedule or the bill under their regularly applicable non-TOU schedule for three consecutive months. This option is solely the utility's and shall in no way obligate the utility. If after being served under this optional billing provision, the customer elects to continue service on Schedule DR-TOU-2, the customer will be required to continue service on this schedule for 12 consecutive months before receiving service on another schedule. L T

10. CARE Customers. Qualified CARE Customers electing to receive service on this schedule will be exempt from the TOU Metering charge. T

11. Net Energy Billing. This provision is available on a first-come, first-served basis to a residential customer of this utility that owns and operates a solar or wind electric generating facility, or a hybrid system of both, with a capacity of not more than ten (10) kilowatts that is located on the customer's premises, is interconnected and operates in parallel with the electric grid, and is intended primarily to offset part or all of the customer's own electrical requirements. This provision shall be available until the time that the total rated generating capacity used by the eligible customer-generators equals one-tenth of 1 percent of the utility's aggregate customer peak demand. T

The annualized net energy metering calculation shall be made by measuring the difference between the electricity supplied to the eligible customer-generator and the electricity generated by the eligible customer-generator and fed back to the electric grid over a 12-month period. In the event the energy generated exceeds the energy consumed during the 12-month period, no payment will be made for the excess energy delivered to the utility's grid. If the utility is the customer's Electric Service Provider, this condition may be modified where the customer has a signed contract to sell any portion of the customer generated energy to the utility.

The eligible customer-generator shall be billed, at the end of each 12-month period following the date of the utility's final interconnection of their system, and on the anniversary date thereafter, for electricity used during that period. The utility shall determine if the eligible customer-generator was a net consumer or a net producer of electricity during that time period.

If the utility is the customer's Electric Service Provider, the utility shall provide net electricity consumption information on each regular bill to every eligible customer-generator. The consumption information shall contain the current monetary balance owed to the utility for net electricity delivered/consumed since the last 12-month period ended. The utility shall, upon customer-generator's request, permit the customer to pay monthly for net energy delivered/consumed. L

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SCHEDULE DR-TOU-2

EXPERIMENTAL DOMESTIC TIME-OF-USE SERVICE

SPECIAL CONDITIONS (Continued)

12. Billing. A customer's bill is first calculated according to the total rates and conditions listed above. The following adjustments are made depending on the option applicable to the customer: L T

a. **UDC Bundled Service Customers** receive supply and delivery services solely from SDG&E. The customer's bill is based on the Total Rates set forth above. The EECC component is determined by multiplying the EECC price for this schedule during the last month by the customer's total usage.

b. **Direct Access Customers** purchase energy from an energy service provider (ESP) and continue to receive delivery services from SDG&E. The bill for a Direct Access Customer will be calculated as if it were a UDC Bundled Service Customer, then crediting the bill by the amount of the EECC component, as determined for a UDC Bundled Customer.

c. **Virtual Direct Access Customers** receive supply and delivery services solely from SDG&E. A customer taking Virtual Direct Access service must have a real-time meter installed at its premises to record hourly usage, since EECC change hourly. The bill for a Virtual Direct Access Customer will be calculated as if it were a UDC Bundled Service Customer, then crediting the bill by the amount of the EECC component, as determined for a UDC Bundled Customer, then adding the hourly EECC component, which is determined by multiplying the hourly energy used in the billing period by the hourly cost of energy.

Nothing in this service schedule prohibits a marketer or broker from negotiating with customers the method by which their customer will pay the CTC charge. L